E1 UK GDPR and special category data in HR

Personal and special category data, lawful bases for talent data, Article 9 conditions, appropriate policy documents and DPIA screening.

E1-L1 Personal data, special category data and the two-part test

Classify each attribute by what it reveals. Keep the special categories and the protected characteristics as two separate fields, and treat inferences as data.

The nine special categories	Racial or ethnic origin, political opinions, religious or philosophical beliefs, trade union membership, genetic, biometric (to identify), health, sex life, sexual orientation.
Is an inferred special category special category data?	Yes. A model that infers health or ethnicity processes special category data.
Age and sex	Protected characteristics under the Equality Act 2010. Not special categories.
The two-part test	An Article 6 lawful basis for all personal data, plus an Article 9 condition for special category data.

E1-L2 A lawful basis for each use of talent data

Give each purpose its own lawful basis, avoid consent for workers, record a legitimate interests assessment for each use of legitimate interests, and keep only the fields each purpose needs.

The seven lawful bases	Consent, contract, legal obligation, vital interests, public task, legitimate interests, and recognised legitimate interests since 5 February 2026.
Consent for employee data	Rarely appropriate. The power imbalance makes it hard to give freely. Use another basis.
Legitimate interests assessment	Purpose, necessity, balancing, recorded before processing starts.
Purpose limitation	A basis covers the purposes you specified. A new purpose, such as an attrition model, needs its own check.
Recognised legitimate interests	Article 6(1)(ea), from 5 February 2026. Only the purposes in Annex 1, with no balancing test.

E1-L3 Article 9 conditions, policy documents and DPIA screening in HR

Pair each Article 9 condition with its Schedule 1 condition and an appropriate policy document, keep monitoring data away from individual decisions, and screen every new use for a DPIA.

Employment condition in the UK	Article 9(2)(b) plus Schedule 1, Part 1, paragraph 1 of the DPA 2018, with an appropriate policy document.
Diversity monitoring	Article 9(2)(g) plus Schedule 1 paragraph 8, equality of opportunity or treatment. Never for decisions about one person.
Appropriate policy document	Names the Schedule 1 condition, how you meet the principles, and retention and erasure. One APD can cover several purposes.

When a DPIA is mandatory	Before high-risk processing, always for large-scale special category data and extensive profiling with significant effects. Consult the ICO if high risk remains.

E1-L4 Writing the DPIA for a people model

Cover the four parts of Article 35(7). Name each harm, rate it, put fairness figures in the risk section, record measures and residual risk, and consult the ICO if a high risk remains.

Article 35(7): four required parts of a DPIA	Description and purposes, necessity and proportionality, risks to people, and the measures that address them.
ICO template risk scales	Likelihood: remote, possible, probable. Severity: minimal, significant, severe. Overall: low, medium, high.
Where fairness goes in a DPIA	In the risk section, with flag rates per group, the ratio and the threshold for action.
High residual risk	Consult the ICO before processing starts.

E1-L5 Personal data in each medallion layer

Keep raw identifiers in bronze for a few people, pseudonymise with a keyed hash in silver, suppress small groups in gold, and record each choice. Pseudonymised data is still personal data.

Pseudonymisation, UK GDPR Article 4(5)	Data no longer attributable to a person without additional information that is kept separately and protected.
Is pseudonymised data personal data?	Yes. You hold the key. It lowers the risk; the law still applies.
Why a keyed hash?	A plain hash of a known-format ID is matched by hashing every possible value. HMAC with a secret key prevents that.
Personal data per layer	Bronze raw for a named few, silver pseudonymised, gold aggregated with small groups suppressed.